



Ulta Beauty, Inc. (NasdaqGS: ULTA)

By: Aliya Sumar, Cedric Bax, Harshit Gwalani, Linh Vo, Noel Myrtaj

Market Data as of November 20, 2024

Executive Summary

Founded in 1990, Ulta Beauty, Inc. (NasdaqGS: ULTA), is the largest specialty beauty retailer in the United States, offering a comprehensive range of beauty products and salon services. Operating over 1,400 stores and a \$2 billion eCommerce platform, Ulta caters to both mass-market and prestige consumers, leveraging its omnichannel strategy and a highly effective loyalty program with 44 million members contributing 95% of its total sales. This valuation assesses Ulta Beauty's share price to determine a fair value for the company to support investment decision-making. The effective date of the valuation is November 20th 2024, aligning with the latest financial reporting data and market conditions. This report aims to provide insights for strategic planning, including expansion initiatives and capital allocation.

The valuation employs a rigorous intrinsic methodology through the Discounted Cash Flow (DCF) model, incorporating both the perpetuity growth method (PGM) and exit multiple method (EMM). Additionally, the relative valuation framework is employed using Comparable Companies Analysis (CCA) to benchmark Ulta Beauty's performance and valuation metrics against direct competitors. The DCF approach projects cash flows using a 5-6% growth rate, an operating margin of 11% and a weighted average cost of capital (WACC) of 7.0%. This model also incorporates terminal growth assumptions of 2% in the PGM to reflect long-term sustainability. A sensitivity analysis has been incorporated to evaluate the impact of variations in growth rates and cost structures, ensuring a vigorous evaluation of risks and opportunities. The relative valuation method benchmarks Ulta Beauty against comparable companies, emphasizing enterprise value (EV) to EBITDA multiples that are adjusted to account for market-specific and operational dynamics.

Throughout the valuation, key inputs include the discount rate which is derived using an industry beta and market risk premium, and valuation discounts to reflect geographic concentration and competition risks. The major assumptions include consistent revenue growth driven by Ulta Beauty's loyalty program, omnichannel expansion, strategic initiatives such as its entry into the \$9 billion Mexican beauty market and the rollout of smaller store formats to reach underserved regions. The sensitivity analysis indicates that changes in revenue growth rates and margins are the most significant factors influencing the valuation. Based on these analyses, the report concludes with Ulta Beauty's target share price as \$408.83, representing a 19.2% upside from its current market price of \$338.26.

This valuation highlights Ulta Beauty's strong financial performance, its well-executed growth strategies and its competitive positioning in the US beauty retail market. The company demonstrates its ability to deliver shareholder value while managing operational risks. This report serves as a detailed guide for analyzing and evaluating the intrinsic value and strategic growth opportunities of Ulta Beauty and provides stakeholders with practical insights to optimize shareholder value.

Business Overview

Ulta Beauty, Inc. is the leading beauty retailer in the United States and offers an extensive portfolio of over 600 mass prestige brands across cosmetics, skincare, haircare, fragrances, and salon services. The company has over 1,400 physical operational stores and a \$2 billion online platform which ensures a seamless omnichannel experience for its broad customer base. Ulta Beauty caters to a wide demographic that ranges from Gen-Z to mature adults, appealing to both budget-conscious and luxury shoppers.

Revenue Composition and Product Mix

Ulta Beauty's revenue is diversified across key product categories, each of which contributes significantly to its overall performance. Cosmetics represent the largest segment, accounting for 41% of 2023 sales, driven by a balanced portfolio that includes a mix of mass-market brands such as L'Oréal and NYX, alongside prestige offerings like Too Faced and Tarte. Skincare accounts for 19% of net sales, driven by growing consumer interest in wellness and self-care, supported by partnerships with brands like CeraVe and Clinique. Haircare & Styling and Fragrance & Bath each contribute 19% and 15%, respectively, with strong representation from both accessible and luxury brands. In-store services and accessories complete the mix, together contributing 6% of net sales, highlighting Ulta's efforts to create a comprehensive shopping and service destination. Ulta Beauty's diversification across product categories supports consistent growth and resilience in a dynamic retail environment *(See Appendix A-1 for "Revenue Composition and Product Mix")*.

Customer Engagement and Loyalty

The Ulta Beauty Rewards program is a cornerstone of its business, driving 95% of its total sales and fostering strong customer retention. With more than 44 million active members, the program incentivizes repeat purchases through personalized rewards, exclusive deals, and events. The majority of members shop exclusively in-store, suggesting the importance of Ulta Beauty's physical retail presence. The rest of their members engage with online channels.

Omnichannel and Strategic Partnerships

Ulta's omnichannel strategy integrates 1,350+ physical stores, a mobile app, and a strong online platform, complemented by its Target shop-in-shops initiative, which extends its reach to over 500 Target locations. These efforts strengthen brand accessibility while capturing new customer segments. Strategic brand partnerships play a pivotal role in differentiating Ulta's offerings. Relationships with L'Oréal and Estée Lauder contributed 55% - 56% of sales in FY23 and FY24, while exclusive agreements with brands like Tarte and temporary collaborations with Morphe and Juvia's Place create a unique value proposition for shoppers.

Operational Strengths

Ulta's ability to balance mass-market and prestige products enables it to capture market share across multiple customer segments. The company's focus on strategic store placements, including smaller-format stores to penetrate underserved markets, reinforces its growth trajectory. Additionally, its omni-channel presence supports higher customer engagement, with digital tools enhancing convenience and personalization.

Industry Overview

The U.S. beauty and personal care industry, valued at \$117 billion in 2023, is expected to grow to \$151 billion by 2029, with consistent single-digit annual growth. This mature yet dynamic sector has been revitalized by evolving consumer preferences, particularly in response to increased awareness of skincare, sustainability, and wellness.

Key Growth Trends

- **Fragrances:** The fastest-growing category (+15.3% in 2023), driven by e-commerce.
- **Skincare & Cosmetics:** A 6% CAGR shows resilience amid economic fluctuations.
- **Sustainability:** Demand for eco-friendly and refillable products is increasing among Gen Z.
- **Luxury Products:** Growing at 9% CAGR (2023-2028), the luxury segment offers significant "white space" for penetration compared to adjacent industries (*See Appendix A-2 for "Growth Trends Across Beauty Categories"*).

Omni-channel Retail Landscape

The beauty and personal care industry operates across both physical and digital channels, with in-store sales contributing 59% of revenue and online channels accounting for 41%. Post-COVID, brick-and-mortar stores have seen a resurgence, while e-commerce continues to grow, driven by social media and direct-to-consumer (DTC) platforms. Specialty retailers like Ulta Beauty and Sephora dominate prestige categories with curated offerings, while general retailers such as Target and Kroger capture value-driven demand, creating a competitive "see-saw effect" (*See Appendix A-3 for "See-Saw Effect in Competition"*).

Pricing and Consumer Behavior

Pricing tiers within the industry cater to a broad spectrum of consumers, with distinct growth opportunities at both ends of the market. Luxury beauty, growing at a CAGR of 9%, is driven by high-net-worth individuals and represents a significant opportunity for market penetration. Meanwhile, mass markets and categories, expanding at 5-6% annually, attract value-conscious consumers with affordable and multi-use products. This dual-tiered approach reflects the industry's ability to balance premium offerings with affordability to meet diverse consumer preferences.

Key Industry Drivers and Competitive Environment

Several macroeconomic and consumer trends are reshaping the beauty and personal care market, with e-commerce driving a transformation in purchasing habits through platforms like Amazon and Tmall. Sustainability has emerged as a critical factor, as consumers, particularly Gen Z, increasingly demand clean ingredients, eco-friendly packaging, and refillable options. Rising health and wellness awareness, driven by urbanization and pollution, has also heightened the demand for skincare and self-care products focused on overall well-being. Amid this evolving landscape, the fragmented competitive environment underscores the need for differentiation. Specialty retailers dominate prestige and sustainable categories, while general retailers excel in mass-market offerings. Success relies on leveraging omnichannel strategies and meeting consumer preferences for value, innovation, and sustainability.

Valuation

Intrinsic Valuation: Discounted Cash Flow (DCF) Analysis

The DCF analysis calculates the sum of the present value of future free cash flows (FCFs) and the present value of the terminal value to achieve an implied share price.

Assumptions

Key assumptions are required to project FCF. From Q3 '2024 to FY '2026, revenue projections by product category are based on management's expectations, indicating the range from \$11.0B to \$11.2B in FY 2024 annual sales. Additionally, revenue assumptions anticipate that long-term growth (until FY '2026) will fluctuate between 5% and 6%, driven by its strong historical performance.

Revenue drivers include:

1. Ulta's massive customer base through its loyalty program (Appendix B-1).
2. Ulta's channel establishment strategy that creates an effective ecosystem:
 - Ulta focuses on providing a wide range of salon products and services which have historically been provided by different companies, making Ulta a convenient choice for consumers.
 - e-Commerce is booming for Ulta, with 20 million users of their app. This platform also constitutes ~20% of the revenues, growing at 23% CAGR from 2019 to 2023 (Sec.gov., 2023).
 - New store performance remains strong. These stores are accretive by year 2 and reach fleet profitability by year 5. This demonstrates not only the company's ability to grow profitably but also the opportunity for long-term expansion through well-performing stores.
 - Ulta's return on invested capital is at an impressive rate of 33.7%, higher than the typical benchmark. Their ability to rapidly build new stores also fuels rapid earnings growth. This contributes to a compound annual growth rate of over 23% in diluted earnings per share, from \$3.15 in 2013 to \$26.03 in 2023 (See Appendix B-7 for "Ulta's Diluted Earning per Share and Free Cash Flow Growth Charts"). Additionally, free cash flow has grown at a 26% CAGR, reaching over \$1 billion in 2023.

Management expects a decrease of ~70-90 bps in gross margins due to the higher merchandise cost. Also, with the intensifying competition, we expect Ulta Beauty to continue investing in its marketing strategy to maintain brand awareness and customer relationships. This investment results in a ~100 bps increase in the cost of SG&A over the forecast period. Overall, the operating (EBIT) margin is assumed to be ~11% in the long term.

Cash Flow Projections:

Forecasted D&A will align with historical data points with a slight increase to reflect the increase in capital expenditure and new store construction.

Ulta Beauty's management plan is to open 200 more stores from 'FY24-'FY28. The installation cost per store is ~\$2.1M, presenting 70% of the total CapEx moving forward. Management expects to invest 4%-5% in CapEx in the coming years.

Balance Sheet Projections:

- Current Operating Assets (Account Receivables, Inventory, Prepaid Expenses): Forecasted days of sales outstanding and prepaid expenses are in line with historical performance. Days of inventory outstanding are expected to be slightly better compared to the pre-pandemic period since logistics and inventory management systems have improved.
- Current Operating Liabilities (% of Total Revenue) are assumed to be highly conservative, reducing cash being kept because Ulta is expected to minimise its obligations with vendors to maintain competitive relationships with major brands.
- The terminal growth rate is projected to be 2% and the exit multiple is assumed to be 12.0x.

Discount Rate (WACC)

- Ulta has no actual debt, only short- and long-term leases. The capital structure comprises:
 - 45.1% debt (leases).
 - 54.9% equity.
- **Cost of Equity:** Calculated using the CAPM formula.
 - **Risk-Free Rate:** 4.4% (YCharts, 2024)
 - **Beta:** The result would have been ~5.3% if using the set of comparable companies for beta calculation, which is considered to be too low. Therefore, the industry beta provided by A. Damodaran (*See Appendix B-2 for "Industry Beta"*) is being used. More specifically, 'Retail-specialty lines' unlevered beta is used and relevered to take leverage into account.
 - **Equity Risk Premium:** Assumed at 4.04%. (Damodaran, 2024)
 - **Cost of Debt:** 3.7% (Ulta 10-K, 2024) (*Refer to Appendix B-5 for "Weight-average discount rate for leases"*).

From these inputs, the WACC is calculated as **7.02%**, which serves as the discount rate for the valuation.

Implied Valuation Results

The implied valuation results indicate that the stock is undervalued, with both the perpetuity growth and exit multiple methods projecting significant upside potential. The perpetuity growth method estimates a total equity value of \$18.05 million and an implied share price of \$383.24, reflecting an upside of 13.1%. The exit multiple method suggests a higher equity value of \$19.99 million with an implied share price of \$424.41 and an upside of 25.3%. (See Appendix B-3 for “Detail Calculation of Averaging the Implied Price from Both Methods”)

Sensitivity Analysis

A sensitivity analysis was conducted on key variables, including WACC and terminal growth rate, to assess the robustness of the valuation (See Appendix B-6 for “Summary of Sensitivity Analysis”). After analyzing a wide range of WACC, terminal growth rate and exit multiple, it is evident that Ulta’s market share price appears undervalued in most scenarios. However, for the worst-case scenarios - where the exit multiple is 10.0x, the terminal growth rate is 1% and the WACC exceeds 7.5% - the share price is slightly overvalued. Despite this, the valuation in these extreme cases is not significant. This further indicates a potential upside for investors who believe in Ulta’s long-term growth prospects.

Relative Valuation: Comparable Company Analysis (CCA)

The CCA compares Ulta to a group of most similar companies by geography (U.S.), industry (specialty retail), and size (revenue/equity value).

Comparable Companies

- **LVMH:** Through ownership of Sephora, LVMH is a competitor. However, financial metrics reflect the whole corporate, not solely Sephora, causing higher multiples due to its strong position in the luxury market. The equity value is \$339B.
- **Bath & Body Works:** A closer peer that captures 6% of the beauty retail industry and has similar equity value (\$17B to \$7B), but focuses on mid-range retail offerings.
- **Target and Kroger:** Both are slightly incomparable by equity value (\$70B and \$42B) and business model as general retailers with broader product assortments, lacking Ulta’s specialization. Both own significant market share but do not disclose sales in beauty.
- **CVS:** Primarily a pharmacy retailer (\$71B equity value) that includes beauty product sales as a secondary focus, causing financial metrics to be heavily influenced by health operations.

Due to a lack of comparable companies in the specialty retail space solely focused on beauty products, CCA findings are disregarded as they do not truly reflect what should be peer metrics to Ulta. Therefore, valuation multiples are dismissed but growth metrics remain a slightly important method to determine financial health.

Valuation Multiples

Valuation multiples were chosen through research on standard multiples for the retail industry.

- **EV/Revenue:** Useful for understanding topline valuation for growing firms independent of profitability.

- **EV/EBITDA:** Useful for analyzing operational efficiency independent of changes in capital structure and non-cash expenses.
- **P/E:** Highlights how earnings are valued relative to stock price and is a standard and quick benchmark for investors to generally gauge if a stock is over/undervalued.

Ulta trades at an EV/Revenue of approximately 1.7x, EV/EBITDA of around 11x, and P/E of around 16x. We have also included Debt/EBITDA of 0.9x which is a great indication.

Steps to the CCA

1. Firstly, we must identify a wider comparable companies universe and then filter to choose the closest peers.
2. Similarly, we must identify the most relevant metrics and multiples to include only a few.
3. Using these multiples, we apply the median multiple with Ulta's line item for that multiple to determine enterprise value
4. We then bridge from enterprise value to equity value by subtracting debt
5. Finally, we calculate a price target by dividing equity value by shares outstanding

Reconciling DCF and Relative Valuation Estimates

The DCF and CCA methods provide different estimates of Ulta's value due to the differences in their methodologies. The DCF captures intrinsic value based on long-term growth assumptions, cash flow projections, and company-specific performance metrics. It is highly sensitive to subjective inputs like WACC, terminal growth rates, and revenue/expense forecasts which rely on multiple assumptions. On the other hand, relative valuation focuses on current market sentiment and peer performance, reflecting how the market prices comparable companies, but it ignores company-specific growth.

Reconciliation

- DCF may overestimate Ulta's value because it assumes consistent revenue growth and operational stability over time, which can be too optimistic in uncertain market conditions.
- Relative valuation underestimates Ulta's intrinsic value, as peer multiples reflect broader market trends and might not fully capture Ulta's competitive advantages (e.g., brand strength, customer loyalty, or unique market positioning).
- A blended approach, averaging the results from both methods, would generally provide a balanced view:
 - Blended Implied Share Price: \$355.78 (*See Appendix B-3 for "Detail Calculation of Averaging the Implied Price from Both Methods"*)

That said, our final implied share price was *not* calculated by considering both valuation methodologies due to a lack of comparable peers in the industry. Instead, to achieve a final implied share price, we used 50% of the exit multiple method and 50% of the Gordon growth method from the DCF analysis to conclude an implied upside of 19.2%, indicating a target share price of \$408.83. (*See Appendix B-8*).

Risks

To address areas of concern, the main risks related to Ulta Beauty's continued success include geographic concentration and general competition.

Lack of Geographic Diversity

- Ulta operates in all 50 states in the United States but does not operate in any other countries. Before the COVID-19 outbreak, Ulta had plans to expand into Canada, but those proposals were halted.
- **Mitigation:** Ulta is expected to expand into Mexico which has a \$9.46 billion beauty market in 2025 through a joint venture with Axo, a Mexican retail chain.

Competition

- Certain competitors such as Sephora operate worldwide creating a significant and diversified competitive advantage. In the event that Ulta expands, it will be difficult to disrupt existing customer loyalty.
- **Mitigation:** Ulta has been successful in gaining share in developed markets as demonstrated by the Dallas Fort Worth case and partnership with large retailers like Target.

Conclusion

Ulta Beauty's valuation highlights the company's strong intrinsic value which is supported by its robust omnichannel ecosystem, a highly effective loyalty program and strategic partnerships with top beauty brands.

The Discounted Cash Flow (DCF) approach estimates Ulta Beauty's intrinsic value at \$403.83 per share, reflecting an upside of 19.2%. The DCF analysis draws attention to Ulta Beauty's operational efficiency, high-margin product categories, and long-term cash flow generation potential, particularly in a recovering economic environment. In contrast, the relative valuation methods, which compare Ulta Beauty to other public companies, yield a valuation range of \$278.24 to \$307.72 per share. These inconsistencies come from the nature of the relative valuation method. It is influenced by market sentiment and competitors' performance such as Sephora, LVMH, and Target, which operate with distinct geographic footprints, competitive dynamics, and product mixes. While the relative valuation reflects current market caution, the DCF provides a forward-looking perspective based on Ulta Beauty's potential to expand revenues and cash flows through strategic initiatives.

However, the geographic concentration in the U.S. and competition from global players present a challenge in maximizing shareholder value. While competitors like Sephora operate internationally, Ulta Beauty remains reliant on domestic markets, limiting global revenue diversification. Despite these pressures, Ulta Beauty's strengths - including a diversified product portfolio, expanding digital presence, and historical resilience - position it well for sustained long-term growth. These factors suggest that the current market price undervalues Ulta Beauty's intrinsic potential.

Therefore, the valuation analysis of Ulta Beauty highlights an investment decision to **BUY** Ulta Beauty at its current market price of \$338.26 targeting an implied share price of \$408.83 for a 19.2% upside.

Recommendations

Given the findings from Ulta Beauty's valuation and its growth potential, we recommend the following actions to maximise shareholder value:

1. **Market Expansion:** Prioritize entry into Mexico and continue to develop small format stores to diversify revenue streams and capture untapped demand in underserved markets.
2. **Enhancing Loyalty Program:** Leverage incentive-driven engagement and personalization within the loyalty program to drive deeper engagement and retention, which currently accounts for 95% of sales.
3. **Advance technological integration:** Invest in digital tools, including virtual try-on features and automated personalisation engines, to elevate customer experience and improve omnichannel efficiency.
4. **Commit to sustainability:** Expand sustainable product offerings and strengthen eco-friendly packaging initiatives to align with growing consumer preferences for environmentally responsible products.
5. **Optimize capital deployment:** Balance capital expenditures between new store openings and digital infrastructure while maintaining the flexibility to return value to shareholders through dividends or stock purchases.
6. **Buy back shares:** Considering that shares are implicitly undervalued, this is an excellent opportunity to repurchase Ulta shares at a discounted price. Share buybacks usually result in a rise in share price as it resembles management confidence in the share price, however, some investors find it indicative of lack of investment opportunities. We recommend that the company pursue internal growth investments before buying back shares.

Citations

U.S. Securities and Exchange Commission (SEC). (2023). *Ulta Beauty, Inc. Annual Report Form 10-K (2023)*. Retrieved from <https://www.sec.gov/Archives/edgar/data/1403568/000155837023004581/ulta-20230128x10k.htm>

Ulta Beauty. (n.d.). *Investor Presentations*. Retrieved from <https://www.ulta.com/investor/news-events/presentations>

Ulta Beauty. (2024). *Ulta Beauty Announces Second Quarter Fiscal 2024 Results*. Retrieved from <https://www.ulta.com/investor/news-events/press-releases/detail/187/ulta-beauty-announces-second-quarter-fiscal-2024-results>

U.S. Securities and Exchange Commission (SEC). (2024). *Ulta Beauty, Inc. Quarterly Report Form 10-Q (2024)*. Retrieved from <https://www.ulta.com/investor/sec-filings/all-sec-filings/content/0001558370-24-003941/0001558370-24-003941.pdf>

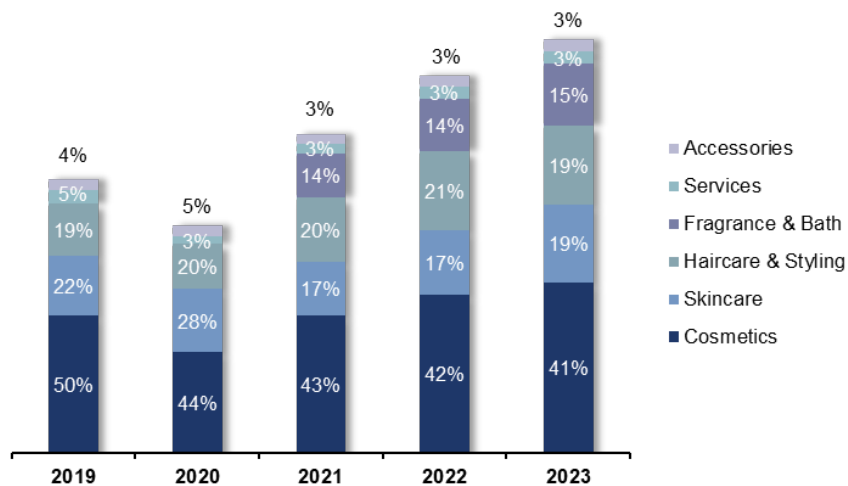
YCharts. (n.d.). *10-Year Treasury Rate*. Retrieved from https://ycharts.com/indicators/10_year_treasury_rate

Damodaran, A. (n.d.). *Aswath Damodaran's Home Page*. Retrieved from https://pages.stern.nyu.edu/~adamodar/New_Home_Page/home.htm

Appendices

Appendix A

Appendix A-1: Revenue Composition and Product Mix



Appendix A-2: Growth Trends Across Beauty Categories

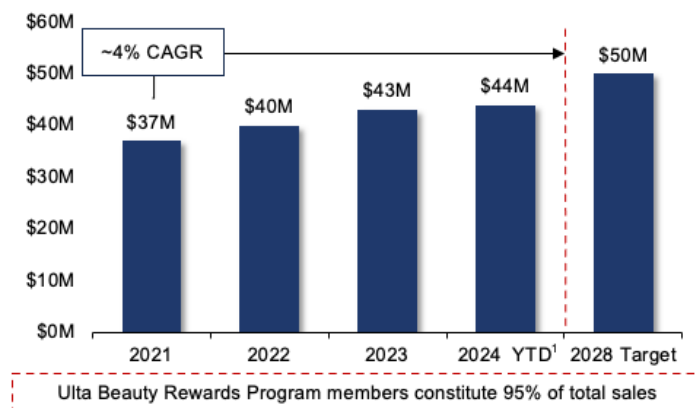
		'22-'27 Growth ⁽⁴⁾	Growth Omni	Grow. Instore	Grow. Online
	Fragrances	7%	15.3%	3.7%	26.7%
	Deodorant	n.a.	14.8%	13.4%	21.8%
	Sun Care	n.a.	11.4%	10.0%	14.2%
	Cosmetics & Nail	6%	9.1%	6.6%	13.0%
	Facial Skin Care	6%	7.2%	7.7%	6.7%
	Hair Care	6%	5.7%	0.8%	16.5%
	Bath & Shower	n.a.	(0.4%)	(2.2%)	6.2%

Appendix A-3: See-Saw Effect in Competition



Appendix B

Appendix B-1: Ulta Beauty Rewards Members



Appendix B-2: Industry Beta

	Lev. Beta	Debt / Equity	Tax rate	Unlev. Beta
LVMH	0.99	0.61	26.2%	0.68
Bath & Body Works	1.78	nm	24.0%	nm
Target	1.24	1.33	22.9%	0.61
Kroger	0.47	1.54	23.5%	0.22
CVS	0.54	1.1	25.2%	0.30

Appendix B-3: Detail Calculation of Averaging the Implied Price from Both Methods

DCF Avg Price + Relative Valuation

$$\frac{\$403.83 + \$307.72}{2} = \$355.775$$

Appendix B-4: Price Target Calculation using Exit Multiple vs. Perpetuity Method

Exit Multiple		Perpetuity Method	
Cumulative Present Value of UFCF	2,965,004	Cumulative Present Value of UFCF	2,965,004
% of Enterprise Value	13.9%	% of Enterprise Value	15.3%
Terminal Value:		Terminal Value:	
Exit Multiple	12.0x	Long-term Growth	2.0%
WACC	7.0%	WACC	7.0%
Final Year EBITDA	1,905,850	Final Year Unlevered Free Cash Flow	1,007,614
Terminal Value	22,870,204	Terminal Value	20,461,171
PV of Terminal Value	18,408,732	PV of Terminal Value	16,469,648
% of Enterprise Value	86.1%	% of Enterprise Value	84.7%
Total Enterprise Value	21,373,736	Total Enterprise Value	19,434,653
(+) Cash	413,962	(+) Cash	413,962
(+) Marketable Securities	--	(+) Marketable Securities	--
(-) Debt	1,798,014	(-) Debt	1,798,014
(-) Preferred Stocks	--	(-) Preferred Stocks	--
(-) Minority Interests	--	(-) Minority Interests	--
Total Equity Value	19,989,684	Total Equity Value	18,050,601
Diluted Shares Outstanding	47,100	Diluted Shares Outstanding	47,100
Implied Share Price	\$424.41	Implied Share Price	\$383.24
Current Share Price	\$338.75	Current Share Price	\$338.75
Implied Upside (Downside)	25.3%	Implied Upside (Downside)	13.1%

Appendix B-5: Weight-average discount rate for leases

8. Leases

The Company leases retail stores, distribution centers, fast fulfillment centers, market fulfillment centers, corporate offices, and certain equipment under non-cancelable operating leases with various expiration dates through 2036. All leases are classified as operating leases and generally have initial lease terms of 10 years and, when determined applicable, include renewal options under substantially the same terms and conditions as the original leases. Leases do not contain any material residual value guarantees or material restrictive covenants.

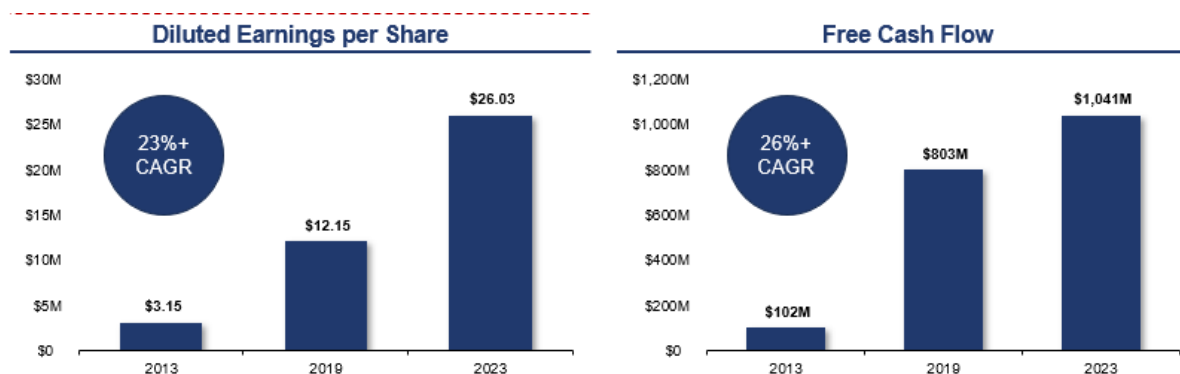
The following table presents supplemental balance sheet information, the weighted-average remaining lease term, and discount rate for operating leases:

(In thousands)	Classification on the Balance Sheet	February 3, 2024	January 28, 2023
Right-of-use assets	Operating lease assets	\$ 1,574,530	\$ 1,561,263
Current lease liabilities	Current operating lease liabilities	\$ 283,821	\$ 283,293
Non-current lease liabilities	Non-current operating lease liabilities	1,627,271	1,619,883
Total lease liabilities		\$ 1,911,092	\$ 1,903,176
Weighted-average remaining lease term		6.6 years	6.7 years
Weighted-average discount rate		3.7 %	3.2 %

Appendix B-6: Summary of Sensitivity Analysis

		Exit Multiple							Preperuity Growth				
		10.0x	11.0x	12.0x	13.0x	14.0x			1.0%	1.5%	2.0%	2.5%	3.0%
Discount Rate	6.0%	\$370.29	\$403.85	\$437.41	\$470.98	\$504.54	Discount Rate	6.0%	\$391.46	\$432.86	\$484.56	\$550.93	\$639.25
	6.5%	\$364.73	\$397.79	\$430.85	\$463.91	\$496.97		6.5%	\$353.76	\$387.32	\$428.30	\$479.46	\$545.15
	7.0%	\$359.27	\$391.84	\$424.41	\$456.98	\$489.55		7.0%	\$322.33	\$350.03	\$383.24	\$423.80	\$474.44
	7.5%	\$353.92	\$386.01	\$418.09	\$450.18	\$482.27		7.5%	\$295.71	\$318.93	\$346.35	\$379.22	\$419.37
	8.0%	\$348.67	\$380.28	\$411.90	\$443.51	\$475.13		8.0%	\$272.89	\$292.60	\$315.58	\$342.72	\$375.26
		Exit Multiple							Preperuity Growth				
		10.0x	11.0x	12.0x	13.0x	14.0x			1.0%	1.5%	2.0%	2.5%	3.0%
Discount Rate	6.0%	9.3%	19.2%	29.1%	39.0%	48.9%	Discount Rate	6.0%	15.6%	27.8%	43.0%	62.6%	88.7%
	6.5%	7.7%	17.4%	27.2%	36.9%	46.7%		6.5%	4.4%	14.3%	26.4%	41.5%	60.9%
	7.0%	6.1%	15.7%	25.3%	34.9%	44.5%		7.0%	-4.8%	3.3%	13.1%	25.1%	40.1%
	7.5%	4.5%	13.9%	23.4%	32.9%	42.4%		7.5%	-12.7%	-5.9%	2.2%	11.9%	23.8%
	8.0%	2.9%	12.3%	21.6%	30.9%	40.3%		8.0%	-19.4%	-13.6%	-6.8%	1.2%	10.8%

Appendix B-7: Ulta's Diluted Earning per Share and Free Cash Flow Growth Charts



Appendix B-8: Football Field Chart and Final Valuation Breakdown

Valuation Breakdown

- **Current Share Price:** \$338.26
- **Implied Share Price:** \$408.83
- **Implied Upside:** 19.2%

